

### 3.7.2 Analysing the existing internal position of a business to assess strengths and weaknesses: financial ratio analysis

| Content                                                                                                            | Additional information                                                                                                                                                                                                                                                    |
|--------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| How to assess the financial performance of a business using balance sheets, income statements and financial ratios | Financial ratio analysis to include: <ul style="list-style-type: none"><li>• profitability (return on capital employed)</li><li>• liquidity (current ratio)</li><li>• gearing</li><li>• efficiency ratios: payables days, receivables days, inventory turnover.</li></ul> |
| The value of financial ratios when assessing performance                                                           | Data may be analysed over time or in comparison with other businesses.                                                                                                                                                                                                    |